

SOFTWARE DEVELOPMENT AGREEMENT

This Software Development Agreement ("Agreement") is entered into as of January 15, 2024, by and between:

CLIENT: TechCorp Industries Ltd.

Address: 123 Innovation Drive, San Francisco, CA 94105, USA

("Client")

DEVELOPER: CodeMasters Solutions Inc.

Address: 456 Developer Plaza, Austin, TX 78701, USA

("Developer")

WHEREAS, Client desires to engage Developer to design, develop, and deliver custom software solutions, and Developer agrees to perform such services under the terms set forth herein.

RECITALS:

- A. Client operates in the financial technology sector and requires a secure, scalable payment processing platform.
- B. Developer possesses expertise in fintech software development and has represented their capability to deliver the required solution.
- C. The parties desire to enter into this Agreement to define their respective rights and obligations.

NOW, THEREFORE, in consideration of the mutual covenants and agreements contained herein, the parties agree as follows:

ARTICLE 1: SCOPE OF WORK

1.1 Services. Developer shall design, develop, test, and deliver a payment processing platform ("Software") in accordance with the specifications attached as Exhibit A.

1.2 Deliverables. Developer shall deliver:

- a) Complete source code with documentation

- b) User manuals and technical specifications
- c) Testing reports and quality assurance documentation
- d) Deployment and maintenance guides

1.3 Timeline. Development shall be completed within 12 months from the Effective Date, with milestone deliveries every 3 months.

ARTICLE 2: PAYMENT TERMS

2.1 Contract Value. The total contract value is USD \$2,500,000 (Two Million Five Hundred Thousand US Dollars).

2.2 Payment Schedule:

- a) 30% (USD \$750,000) upon signing
- b) 25% (USD \$625,000) upon completion of Milestone 1
- c) 25% (USD \$625,000) upon completion of Milestone 2
- d) 20% (USD \$500,000) upon final delivery and acceptance

2.3 Late Payments. Any payment not made within 30 days of the due date shall accrue interest at 2% per month.

2.4 Currency and Method. All payments shall be made in US Dollars via wire transfer to Developer's designated bank account.

ARTICLE 3: INTELLECTUAL PROPERTY RIGHTS

3.1 Ownership. Upon full payment, all Intellectual Property rights in the Software, including source code, documentation, and deliverables, shall transfer to Client. Prior to full payment, Developer retains all rights.

3.2 Pre-existing Materials. Developer retains ownership of any pre-existing code, libraries, or tools incorporated into the Software. Client receives a non-exclusive, perpetual license to use such materials solely as part of the Software.

3.3 Third-Party Components. Developer represents that all third-party components are properly licensed. Client shall be responsible for ongoing license compliance after delivery.

ARTICLE 4: WARRANTIES AND REPRESENTATIONS

4.1 Developer Warranties. Developer warrants that:

- a) The Software shall perform substantially in accordance with specifications for 90 days after delivery.
- b) Developer has the right and authority to enter into this Agreement.
- c) The Software shall not infringe any third-party intellectual property rights.

4.2 NO IMPLIED WARRANTIES. EXCEPT AS EXPRESSLY STATED HEREIN, DEVELOPER PROVIDES THE SOFTWARE "AS IS" WITHOUT ANY WARRANTY OF MERCHANTABILITY, FITNESS FOR A PARTICULAR PURPOSE, OR NON-INFRINGEMENT.

4.3 Client Warranties. Client warrants it has the authority to enter this Agreement and will provide timely feedback and approvals.

ARTICLE 5: LIMITATION OF LIABILITY

5.1 Cap on Liability. DEVELOPER'S TOTAL LIABILITY ARISING OUT OF OR RELATED TO THIS AGREEMENT SHALL NOT EXCEED THE TOTAL AMOUNT PAID BY CLIENT UNDER THIS AGREEMENT.

5.2 Exclusion of Consequential Damages. IN NO EVENT SHALL DEVELOPER BE LIABLE FOR ANY INDIRECT, INCIDENTAL, CONSEQUENTIAL, SPECIAL, OR PUNITIVE DAMAGES, INCLUDING LOST PROFITS, LOST DATA, OR BUSINESS INTERRUPTION, EVEN IF ADVISED OF THE POSSIBILITY OF SUCH DAMAGES.

5.3 Exceptions. The limitations in this Article shall not apply to:

- a) Developer's gross negligence or willful misconduct
- b) Breaches of confidentiality obligations
- c) Intellectual property indemnification obligations

ARTICLE 6: INDEMNIFICATION

6.1 Developer Indemnification. Developer shall indemnify, defend, and hold harmless Client from any third-party claims arising from:

- a) Infringement of intellectual property rights by the Software
- b) Developer's breach of this Agreement
- c) Developer's negligence or willful misconduct

6.2 Client Indemnification. Client shall indemnify Developer from claims arising from:

- a) Client's use of the Software in violation of applicable laws
- b) Modifications to the Software made by Client without Developer's approval
- c) Client's breach of this Agreement

6.3 Indemnification Process. The indemnified party must promptly notify the indemnifying party of any claim and cooperate in the defense.

ARTICLE 7: CONFIDENTIALITY

7.1 Definition. "Confidential Information" means all non-public information disclosed by either party, including business plans, technical data, source code, and customer information.

7.2 Obligations. Each party shall:

- a) Maintain confidentiality using the same degree of care used for its own confidential information, but no less than reasonable care
- b) Use Confidential Information solely for purposes of this Agreement
- c) Disclose Confidential Information only to employees and contractors who need to know

7.3 Duration. Confidentiality obligations shall survive for 5 years after termination of this Agreement.

7.4 Exceptions. Confidentiality obligations do not apply to information that:

- a) Is publicly available through no fault of the receiving party
- b) Was rightfully possessed prior to disclosure
- c) Is independently developed without use of Confidential Information

- d) Must be disclosed pursuant to legal requirement

ARTICLE 8: FORCE MAJEURE

8.1 Force Majeure Events. Neither party shall be liable for failure to perform due to causes beyond reasonable control, including acts of God, war, terrorism, pandemic, government restrictions, natural disasters, or labor strikes.

8.2 Notice. The affected party must notify the other party within 10 days of the force majeure event and provide regular updates on efforts to resume performance.

8.3 Termination Right. If a force majeure event continues for more than 90 days, either party may terminate this Agreement upon 30 days written notice. HOWEVER, CLIENT SHALL REMAIN OBLIGATED TO PAY FOR ALL WORK COMPLETED PRIOR TO THE FORCE MAJEURE EVENT, REGARDLESS OF WHETHER SUCH WORK MEETS THE SPECIFICATIONS.

8.4 No Refunds. In the event of termination due to force majeure, Developer shall not be required to refund any payments received, and Client shall pay for work in progress calculated on a time-and-materials basis at Developer's standard rates.

ARTICLE 9: TERMINATION

9.1 Termination for Convenience. Client may terminate this Agreement at any time upon 60 days written notice. Upon such termination, Client shall pay Developer for all work completed plus a termination fee equal to 25% of the remaining contract value.

9.2 Termination for Cause. Either party may terminate upon 30 days written notice if the other party materially breaches this Agreement and fails to cure within 30 days.

9.3 Effect of Termination. Upon termination:

- a) Developer shall deliver all work in progress to Client
- b) Client shall pay for all work completed
- c) All licenses granted shall terminate unless full payment has been made
- d) Confidentiality and indemnification obligations shall survive

9.4 No Termination for Developer Breach. Notwithstanding Section 9.2, Client may not terminate this Agreement for Developer's failure to meet deadlines or performance specifications. Client's sole remedy for such failures shall be to request corrections during the warranty period.

ARTICLE 10: DISPUTE RESOLUTION

10.1 Governing Law. This Agreement shall be governed by the laws of the State of Delaware, without regard to conflict of law principles.

10.2 Arbitration. Any dispute arising out of this Agreement shall be resolved by binding arbitration in accordance with the rules of the American Arbitration Association. The arbitration shall be held in Wilmington, Delaware.

10.3 Attorneys' Fees. The prevailing party in any dispute shall be entitled to recover reasonable attorneys' fees and costs.

10.4 Injunctive Relief. Notwithstanding the arbitration provision, either party may seek injunctive relief in court for breaches of confidentiality or intellectual property rights.

ARTICLE 11: GENERAL PROVISIONS

11.1 Entire Agreement. This Agreement constitutes the entire agreement between the parties and supersedes all prior negotiations and agreements.

11.2 Amendments. No amendment shall be effective unless in writing and signed by both parties.

11.3 Assignment. Developer may not assign this Agreement without Client's prior written consent. Client may assign this Agreement to any affiliate or successor.

11.4 Independent Contractors. The parties are independent contractors. Nothing herein creates an employment, partnership, or joint venture relationship.

11.5 Notices. All notices shall be in writing and delivered to the addresses set forth above or as updated in writing.

11.6 Severability. If any provision is found invalid, the remaining provisions shall remain in full effect.

11.7 Waiver. No waiver of any provision shall be deemed a waiver of any other provision or subsequent breach.

11.8 Counterparts. This Agreement may be executed in counterparts, each of which shall be deemed an original.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the date first written above.

CLIENT: TechCorp Industries Ltd.

By: _____

Name: Sarah Johnson

Title: Chief Technology Officer

Date: January 15, 2024

DEVELOPER: CodeMasters Solutions Inc.

By: _____

Name: Michael Chen

Title: Chief Executive Officer

Date: January 15, 2024